US WEEKLY KICKSTART

The 2026 midterms and US equities

- **Equity investor focus is likely to turn increasingly to the midterm elections in coming weeks.** US midterm elections take place on November 3rd, three months from now. In past cycles, economic policy uncertainty has usually risen in the August ahead of midterm elections and remained elevated in the subsequent few months.
- **Midterms add to the near-term argument for owning index volatility.** Alongside elevated policy uncertainty, equity volatility has usually risen in the lead-up to Election Day. Today, record low correlations across stocks are suppressing index volatility. While the AI trade and upcoming earnings reports will likely continue to weigh on correlations, increased focus on macro issues including elections, geopolitics, and interest rate volatility should put upward pressure on equity index volatility.
- **Equities have typically traded sideways in the few months ahead of midterms.** During 13 midterm election years since 1974, the S&P 500 has generated a median return of 0% from the start of August through Election Day. Returns have typically improved post-election. Mirroring this pattern, mutual funds and foreign investors have generally demonstrated reduced demand for US equities ahead of midterm elections but increased allocations afterward.
- **The outcome of the midterms is unlikely to be a major cause of equity volatility.** Prediction markets indicate a roughly 85% likelihood that Democrats win control of the House, implying a limited likelihood of a major signal from the election outcome regarding future legislation. In addition, most recent political uncertainty has been unrelated to legislative policy. However, investors are watching the midterms for signals relating to the 2028 election cycle.
- **Very few parts of the equity market have demonstrated a recent relationship with midterm election odds.** The largest changes in prediction market odds this year have occurred alongside swings in energy prices. Within the equity market, most sectors, factors, and thematic baskets have traded with no substantial correlation to prediction market probabilities of election outcomes in recent months, although this may change as the election draws closer.

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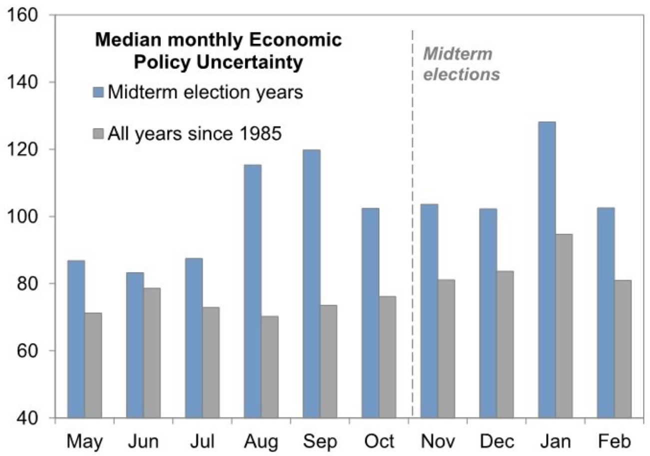
The US equity market around midterm elections

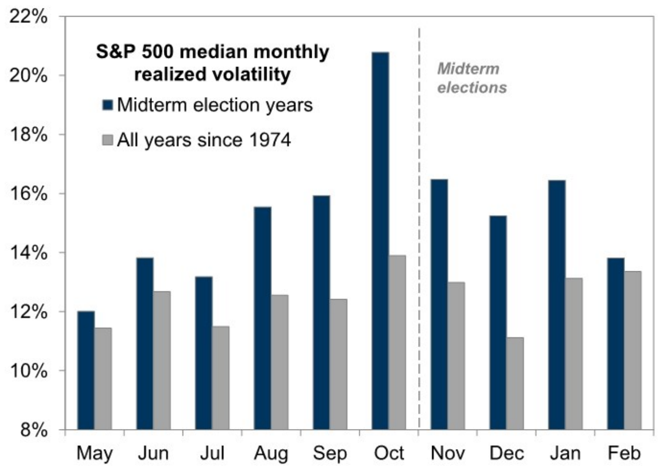
With the 2026 midterms three months away, investor focus is likely to turn increasingly to elections in coming weeks. Midterm elections will take place this year on November 3. During the last few decades, economic policy uncertainty and equity market volatility have typically begun to rise in the late summer ahead of midterm elections. Our economists have found the same pattern after adjusting for the economic cycle as measured by the unemployment rate.

Exhibit 1: Policy uncertainty typically rises ahead of midterm elections



Source: Policyuncertainty.com, Goldman Sachs Global Investment Research

Exhibit 2: S&P 500 volatility usually rises ahead of midterm elections

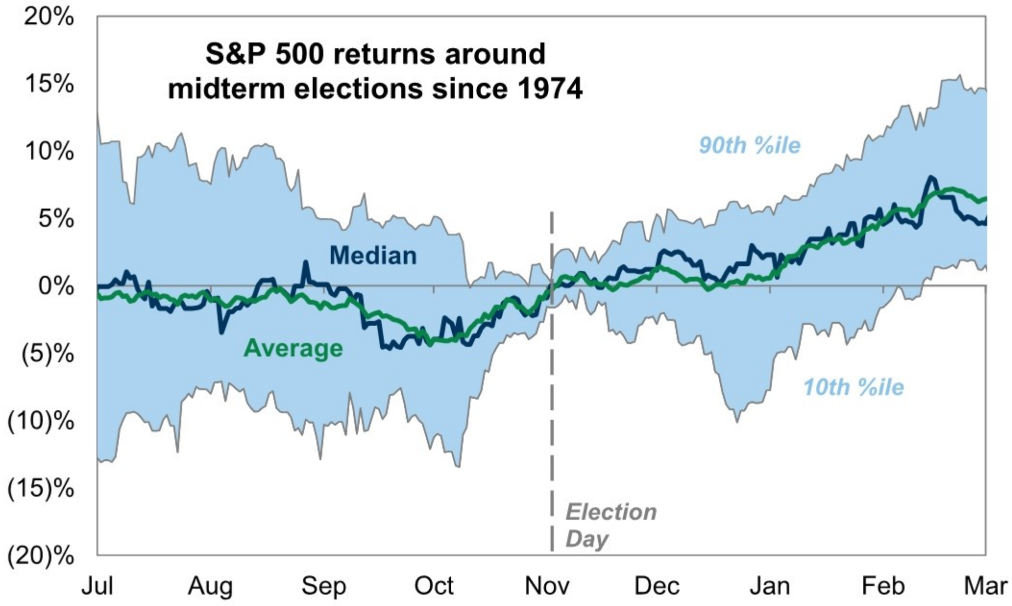


Source: Goldman Sachs Global Investment Research

Alongside elevated uncertainty, mutual funds and foreign investors have typically demonstrated reduced demand for US equities ahead of midterm elections. Around the past 10 midterm elections, US mutual funds increased their cash holdings by an average of 0.4% of AUM during the 3 months before the elections and then reduced those cash positions by 0.6% during the 3 months post-election. Similarly, foreign investors on average sold 0.1% of their US equity assets during the 3 months before the election and then added 0.5% during the subsequent 3 months.

Mirroring the pre-election patterns in uncertainty, volatility, and investor flows, US equities have typically traded sideways in the few months ahead of midterms. US equity returns are generally modest during this part of the calendar year but have been weaker on average in midterm election years. During midterm election years of the past few decades, the S&P 500 has generated a median return of 0% from the start of August through Election Day. Returns have typically improved as uncertainty subsided post-election, with the S&P 500 returning a median of 6% in the subsequent 3 months.

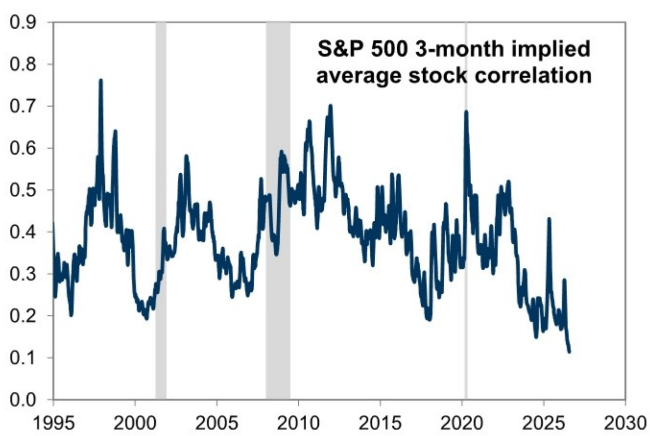
Exhibit 3: US equities have typically traded sideways ahead of midterm elections



Source: Goldman Sachs Global Investment Research

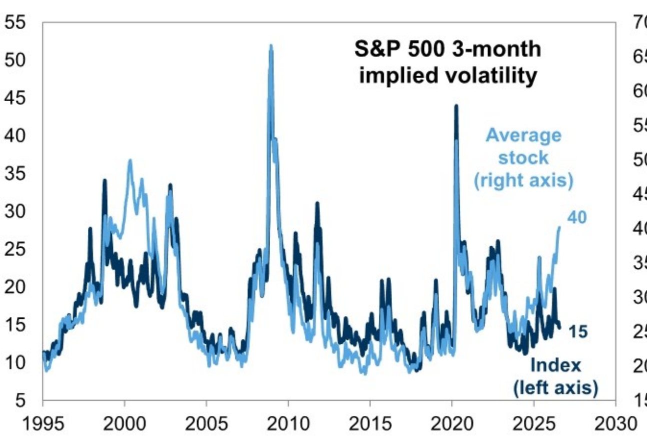
Extremely low implied correlations add to the argument for owning equity index volatility in coming weeks. Option-implied correlations across S&P 500 stocks have dropped to the lowest level in recent decades, weighing on index implied volatility despite surging volatility at the stock and factor levels. While dynamics including the AI trade and popular overwriting strategies are likely to continue to weigh on correlations going forward, the importance of macro drivers will likely increase as the earnings season concludes and investor attention turns to the midterms and upcoming inflation data.

Exhibit 4: Implied correlations across S&P 500 stocks are extremely low
1-month trailing average



Source: Goldman Sachs Global Investment Research

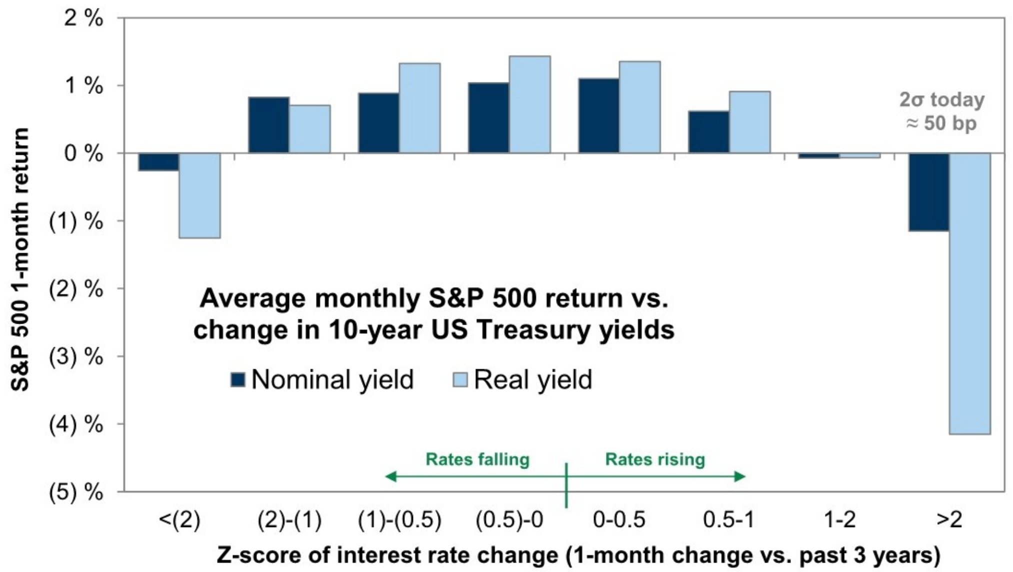
Exhibit 5: Unusually wide gap between S&P 500 average stock and index implied volatility
trailing 1-month averages



Source: Goldman Sachs Global Investment Research

Interest rate volatility adds to upward pressure on equity volatility. Treasury yields have jumped during the past week, with real 10-year yields now at their highest level since 2023 and the real 30-year yield nearing 3%, a level only exceeded in recent decades by a brief bout of volatility during the GFC. Equities typically struggle when interest rates rise by more than two standard deviations over a given period. Today, that two standard deviation threshold equates to a one-month increase in 10-year yields of about 50 bp, suggesting equities would struggle with a near-term rise in nominal yields to about 5% or a rise in real yields to roughly 2.7%.

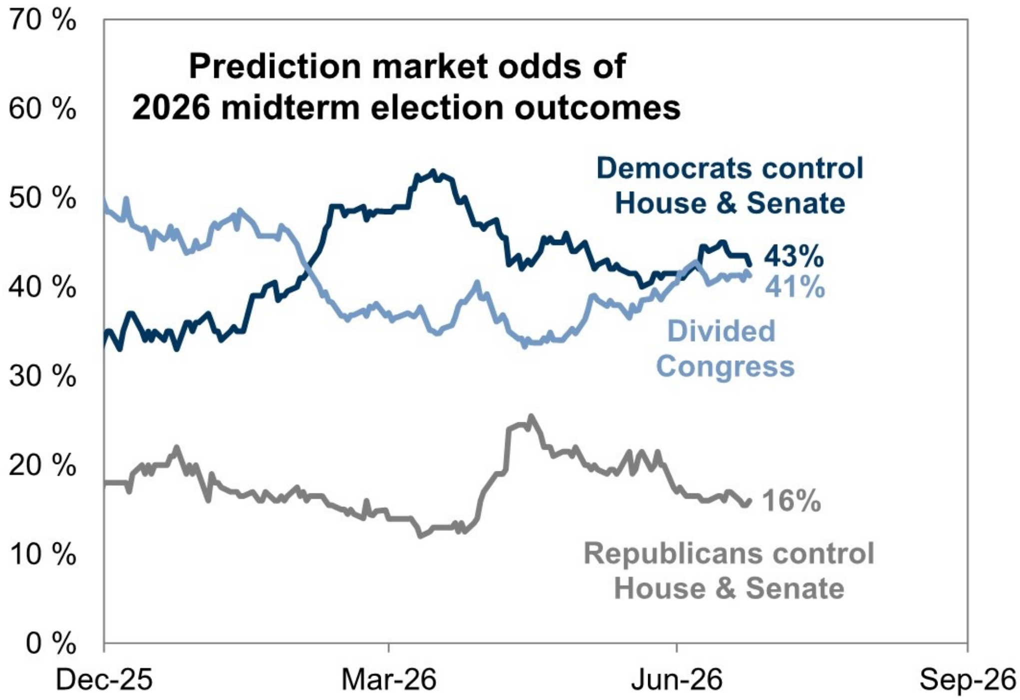
Exhibit 6: Equities usually struggle when Treasury yields move quickly



Source: Goldman Sachs Global Investment Research

Prediction markets signal a high probability that Democrats take control of the House in November, reducing the likelihood of major legislative implications from the midterms. Prediction markets indicate a roughly 85% probability that Democrats win the House, with the Senate outcome close to a coin flip.

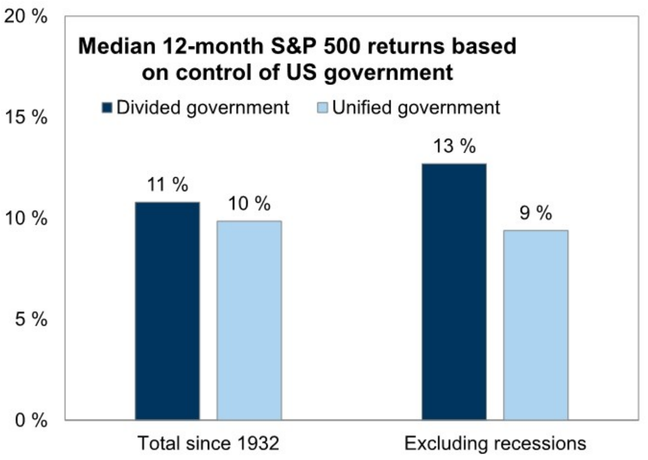
Exhibit 7: Prediction market odds of midterm election outcomes



Source: Polymarket, Kalshi, Goldman Sachs Global Investment Research

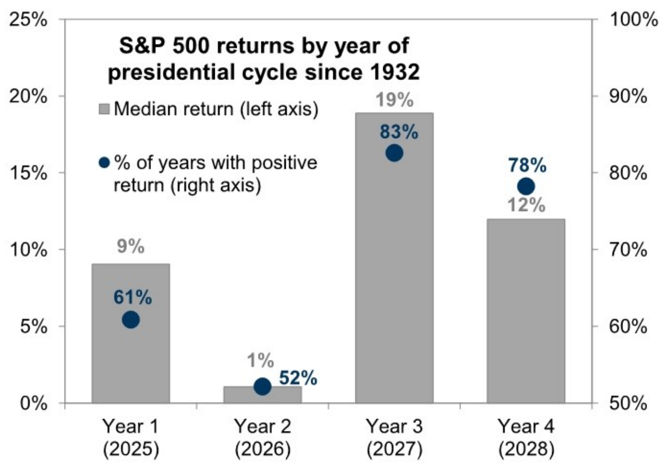
While investors ask about the historical relationship between election outcomes and equity market performance, these patterns are likely to be even less useful than normal this cycle. Equities have historically generated stronger returns alongside divided control of the US government than when one party had unified control. Stocks have also generally performed better in the second half of the presidential cycle than the first. Both of these dynamics likely reflect the challenge that political uncertainty can create for equity investors. Recently, however, most political uncertainty has been unrelated to legislative developments.

Exhibit 8: Equities have historically performed better in divided than unified US governments
price returns



Source: Goldman Sachs Global Investment Research

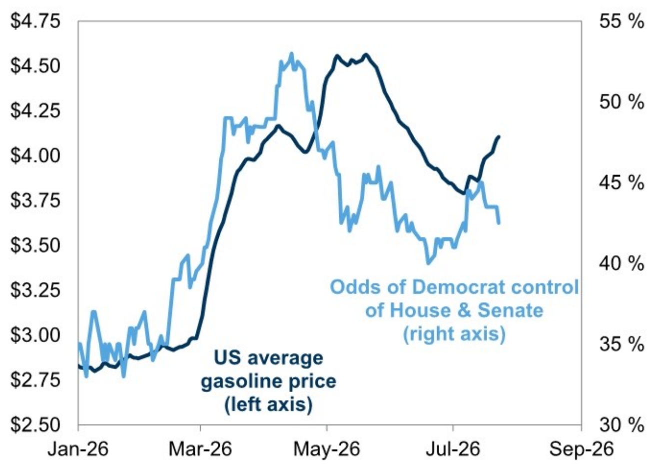
Exhibit 9: US equities have historically performed better in the second half of the 4-year presidential cycle
price returns



Source: Goldman Sachs Global Investment Research

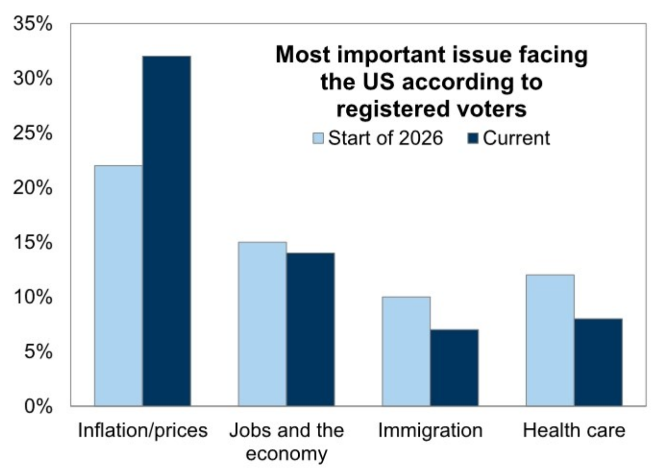
Both surveys and recent prediction market volatility point to inflation as a key issue this election cycle. Our economists noted the importance of this issue to voters coming into 2026, and surveys suggest voter focus on prices has only increased since then. Likewise, prediction market odds of Democrats winning control of both the House and Senate have moved with gas prices in recent months.

Exhibit 10: Prediction market odds of Democratic sweep have moved with gas prices



Source: Polymarket, Kalshi, Goldman Sachs Global Investment Research

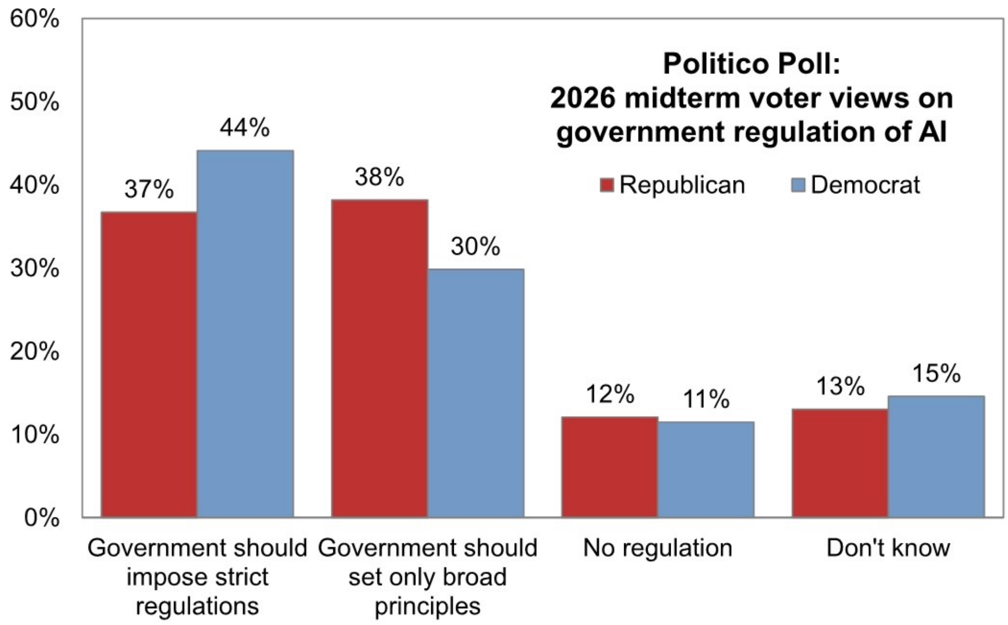
Exhibit 11: Surveys point to inflation as a key voter concern



Source: YouGov, Goldman Sachs Global Investment Research

Investors are also focused on the potential implication of the midterm elections on AI policy. Surveys suggest AI regulation is a bipartisan focus among voters, with over 70% of surveyed voters in a recent Politico poll indicating a desire for some form of government regulation. In addition to the near-term policy outlook, investors are focused on potential signals from this year's midterm elections on the policy outlook following the upcoming 2028 presidential election cycle.

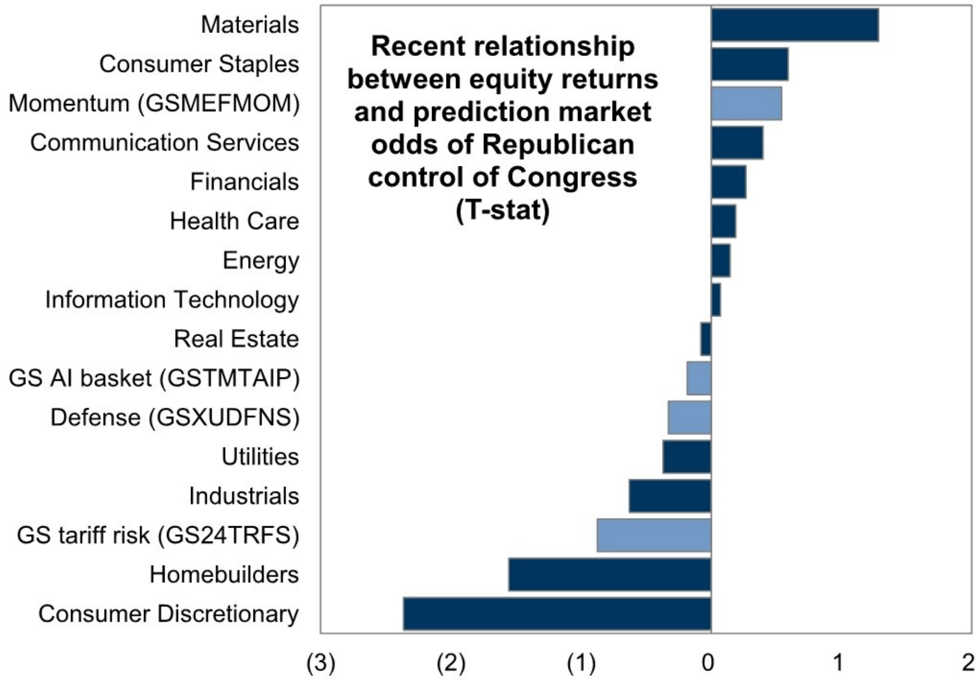
Exhibit 12: AI regulation appears to be a bipartisan issue among voters



Source: Politico, Goldman Sachs Global Investment Research

Very few parts of the equity market have demonstrated a recent relationship with midterm election odds. We regress returns across US equity sectors, factors, and thematic baskets on prediction market odds. Most parts of the equity market have demonstrated little to no correlation with shifting election probabilities in recent months, with the results similar across varying time horizons and controlling for varying sets of other variables like interest rates and the price of oil. The most notable exception is the Consumer Discretionary sector, which has traded with a negative recent correlation to Republican odds, although the relationship has not been extremely strong.

Exhibit 13: There has been little relationship between recent equity returns and prediction market odds
Regression of 3-day returns since the start of Q2 on prediction market odds, controlling for changes in 10-year Treasury yields and crude oil; sectors reflect equal-weight returns; returns evaluated relative to equal-weight S&P 500 except for long/short Momentum factor



Source: Polymarket, Kalshi, Goldman Sachs Global Investment Research

Earnings season summary

Exhibit 14: S&P 500 Q2 2026 earnings results

as of July 24, 2026

S&P 500 EQUAL-WEIGHTED												
				EARNINGS						REVENUE		
	Number of Companies			Std Dev Surprises			Absolute Surprises		Avg 2Q	Std Dev Surprises		Avg 2Q
	Reported	Total	% of Co's	Positive	Negative	In-Line	Positive	Negative	Surprise	Positive	Negative	Surprise
Utilities	2	31	6%	**100 %**	0 %	0 %	100 %	0 %	9 %	**0 %**	50 %	(6)%
Information Technology	13	74	18	**85**	8	8	85	8	13	**69**	8	4
Financials	39	76	51	**82**	3	15	95	5	13	**64**	8	4
Health Care	11	59	19	**82**	0	18	100	0	10	**82**	0	2
Consumer Staples	6	34	18	**67**	0	33	67	33	8	**67**	0	2
Industrials	27	81	33	**67**	15	19	74	15	8	**78**	4	3
Communication Services	7	20	35	**57**	0	43	100	0	37	**29**	14	0
Consumer Discretionary	16	47	34	**56**	31	13	63	38	32	**31**	13	1
Materials	5	26	19	**40**	0	60	80	0	9	**20**	20	2
Real Estate	5	31	16	**40**	20	40	40	60	(2)	**40**	0	3
Energy	4	21	19	**25**	0	75	75	25	3	**75**	0	3
S&P 500	**135**	**500**	**27%**	**70 %**	**9 %**	**21 %**	**82 %**	**14 %**	**14 %**	**60 %**	**7 %**	**3 %**
Comparative Data (full earnings season)												
1Q 2026				65 %	7 %	28 %	84 %	13 %	13 %	55 %	9 %	2 %
4Q 2025				55	12	33	73	23	11	51	13	2
3Q 2025				66	8	26	82	15	10	52	9	2
2Q 2025				60	9	31	78	17	9	53	7	2

S&P 500 CAP-WEIGHTED												
				EARNINGS						REVENUE		
	Weight of Companies			Std Dev Surprises			Absolute Surprises		Avg 2Q	Std Dev Surprises		Avg 2Q
	Reported	Total	% of Co's	Positive	Negative	In-Line	Positive	Negative	Surprise	Positive	Negative	Surprise
Utilities	0	2	16%	**100 %**	0 %	0 %	100 %	0 %	5 %	**0 %**	17 %	(6)%
Financials	7	12	59	**92**	1	7	99	1	20	**79**	4	8
Information Technology	4	38	11	**92**	7	1	92	7	31	**81**	7	11
Communication Services	7	9	70	**88**	0	12	100	0	177	**83**	4	2
Industrials	4	9	41	**76**	17	7	79	17	5	**92**	1	4
Real Estate	0	2	23	**71**	12	18	71	29	17	**34**	0	3
Health Care	3	9	32	**64**	0	36	100	0	11	**70**	0	2
Materials	0	2	23	**42**	0	58	62	0	10	**12**	38	1
Consumer Staples	1	5	32	**37**	0	63	37	63	3	**96**	0	3
Energy	0	3	9	**36**	0	64	83	17	6	**83**	0	4
Consumer Discretionary	2	9	23	**24**	73	3	25	75	1	**81**	2	9
S&P 500	**30**	**100**	**30%**	**78 %**	**9 %**	**14 %**	**86 %**	**12 %**	**51 %**	**79 %**	**4 %**	**5 %**

Source: FactSet, Goldman Sachs Global Investment Research

S&P 500 earnings and return forecasts

Pricing as of July 23, 2026, unless otherwise noted.

Exhibit 15: Goldman Sachs top-down S&P 500 forecasts

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 16: Goldman Sachs and consensus forecasts for S&P 500 earnings and returns

	Goldman Sachs forecast	Bottom-up analyst consensus	Top-down strategist consensus
S&P 500 EPS			
2025	**$275**	$275	$275
Y/Y growth	***12 %***	*12 %*	*12 %*
2026	**$340**	$353	$334
Y/Y growth	***24 %***	*28 %*	*21 %*
2027	**$385**	$402	$386
Y/Y growth	***13 %***	*14 %*	*16 %*
S&P 500 P/E			
Current on NTM EPS	**20x**	20x	20x
S&P 500 price target			
YE 2026	**8000**	NA	7975
Return to target	***8 %***		*8 %*
12-month	**8300**	8850	NA
Return to target	***12 %***	*20 %*	

Source: Bloomberg, FactSet, Goldman Sachs Global Investment Research

Biggest stock movers this week

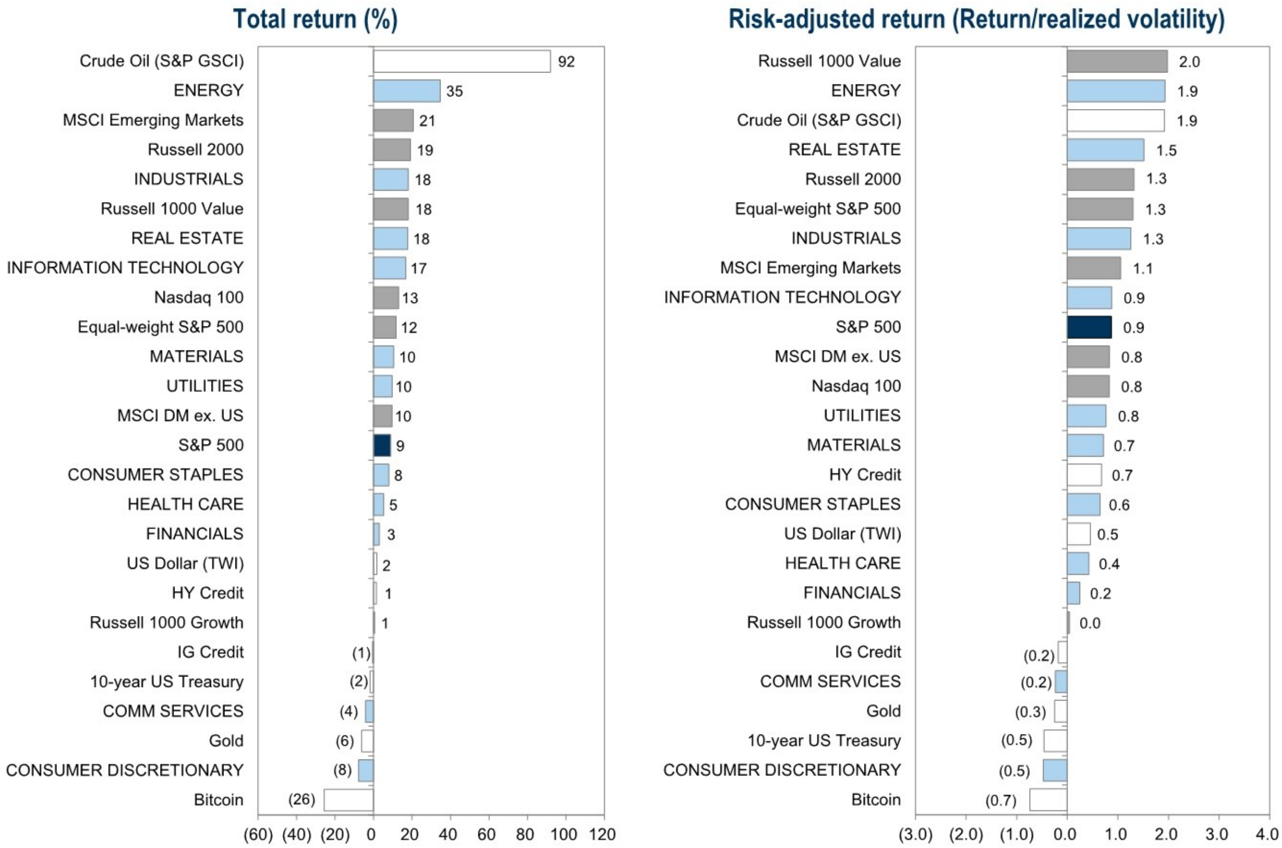
Exhibit 17: S&P 500 stocks with the largest moves this week
as of July 24, 2026

			Total return					Consensus	
Company	**Ticker**	**Industry group**	**This week**	**3m**	**6m**	**12m**	**Market cap (bn)**	**2026 EPS growth**	**Fwd 12m P/E**
Top 10 returns this week									
Super Micro Computer	SMCI	Tech Hardware & Equipment	**25 %**	(13)%	(24)%	(54)%	$20	81 %	9x
Westinghouse Air Brake Technologies	WAB	Capital Goods	**15**	3	15	25	50	18	26
Digital Realty Trust	DLR	Equity REITs	**15**	(12)	8	3	66	(34)	88
Lockheed Martin	LMT	Capital Goods	**14**	(15)	(11)	12	131	29	18
Allegion Public Limited	ALLE	Capital Goods	**12**	(1)	(15)	(3)	13	8	16
SLB Limited	SLB	Energy	**11**	(9)	2	40	71	(14)	18
International Paper	IP	Materials	**11**	6	(10)	(23)	20	NM	24
RTX Corp.	RTX	Capital Goods	**11**	(0)	(3)	31	282	11	29
AT&T Inc.	T	Telecommunication Services	**10**	(16)	(4)	(15)	157	8	10
Dell Technologies	DELL	Tech Hardware & Equipment	**10**	103	227	222	285	72	24
Bottom 10 returns this week									
Tesla Inc.	TSLA	Automobiles & Components	**(18)%**	1 %	(11)%	22 %	$1,263	21 %	151x
Rollins Inc.	ROL	Commercial & Professional Svcs	**(14)**	(16)	(27)	(17)	19	11	32
MSCI Inc.	MSCI	Financial Services	**(12)**	13	7	13	40	12	26
Moderna Inc.	MRNA	Pharma Biotech & Life Sciences	**(12)**	15	51	97	23	NM	NM
Carvana Co.	CVNA	Consumer Discretionary Retail	**(11)**	(2)	(20)	0	43	(4)	37
C.H. Robinson Worldwide	CHRW	Transportation	**(10)**	14	18	113	24	21	29
CrowdStrike Holdings	CRWD	Software & Services	**(10)**	95	80	73	187	33	140
Palo Alto Networks	PANW	Software & Services	**(10)**	112	89	84	265	20	82
Uber Technologies	UBER	Transportation	**(9)**	(3)	(13)	(18)	140	(39)	18
Deckers Outdoor	DECK	Consumer Durables & Apparel	**(9)**	1	8	11	13	2	13
Median S&P 500 stock			**0 %**	5 %	7 %	15 %	$44	10 %	18x
S&P 500 Index			**(1)**	7	9	22	67,485	25	20

Source: FactSet, Goldman Sachs Global Investment Research

YTD absolute and risk-adjusted returns

Exhibit 18: YTD asset returns and return/volatility ratios

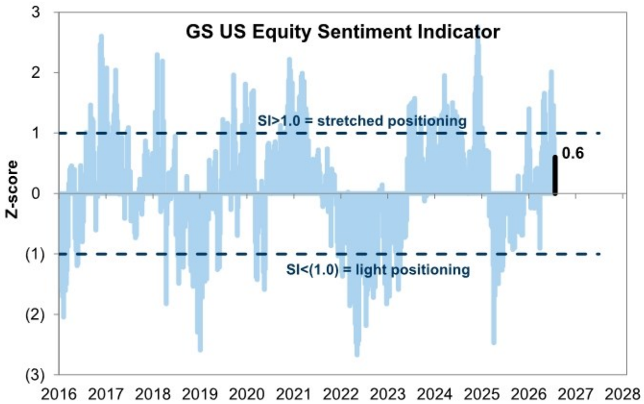


Crude oil represents S&P GSCI Crude Oil Index.

Source: FactSet, Haver Analytics, Goldman Sachs Global Investment Research

Sentiment and flows

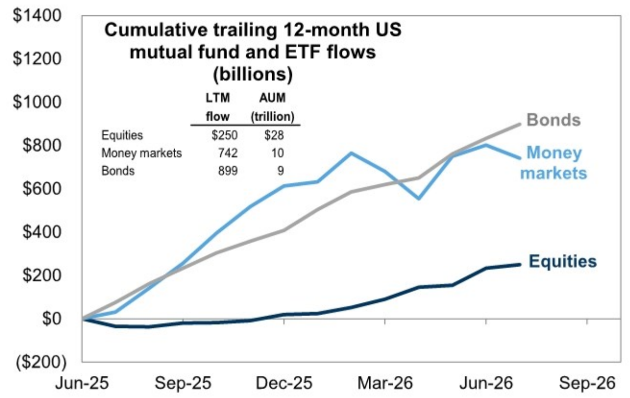
Exhibit 19: GS US Equity Sentiment Indicator of investor positioning
as of July 24, 2026



The Sentiment Indicator combines 9 measures of positioning across institutional, retail, and foreign investors and has historically been a statistically significant signal for near-term S&P 500 returns.

Source: Goldman Sachs Global Investment Research

Exhibit 20: Recent mutual fund and ETF flows



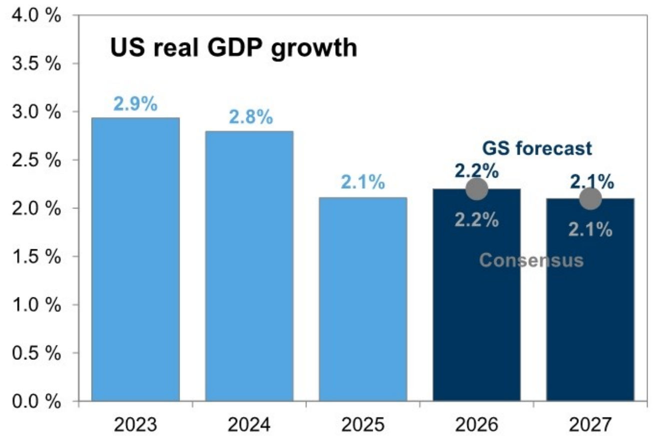
Source: EPFR, Goldman Sachs Global Investment Research

Economic growth

Exhibit 21: US equity market internal pricing of economic growth

Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 22: Goldman Sachs and consensus forecasts for US real GDP growth



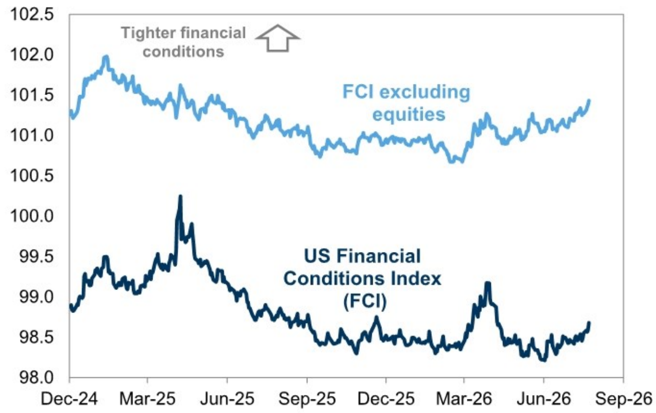
Source: Bloomberg, Goldman Sachs Global Investment Research

Interest rates and financial conditions

Exhibit 23: Market pricing of near-term and long-term interest rate outlook

Source: Goldman Sachs Global Investment Research

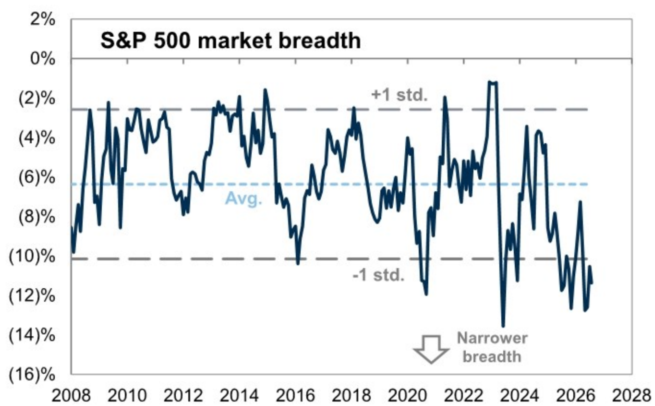
Exhibit 24: Goldman Sachs Financial Conditions Index



Source: Goldman Sachs Global Investment Research

Market breadth and concentration

Exhibit 25: S&P 500 52-week market breadth



Market breadth calculated as the difference between the distance of the aggregate S&P 500 Index from its 52-week high and the distance of the median S&P 500 constituent from its 52-week high. When the aggregate index is much closer to its 52-week high than is the median stock, market breadth is narrow.

Source: Goldman Sachs Global Investment Research

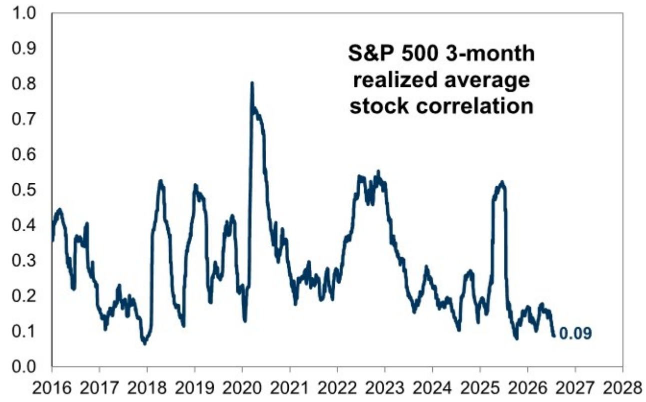
Exhibit 26: Concentration of S&P 500 market cap and earnings in the 10 largest index constituents

Earnings reflect consensus forward 12-month estimates.

Source: Compustat, IBES, FactSet, Goldman Sachs Global Investment Research

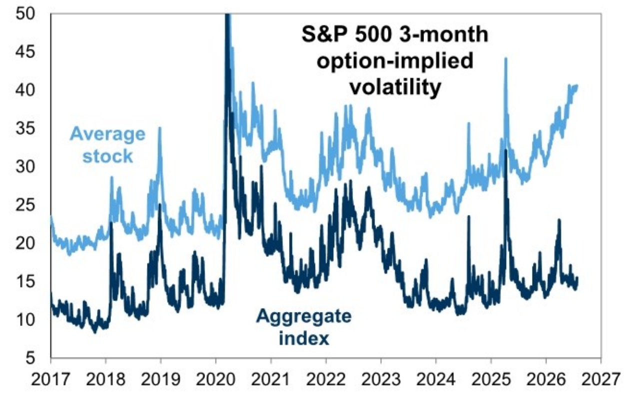
Correlation and volatility

Exhibit 27: S&P 500 realized average stock correlation



Source: Goldman Sachs Global Investment Research

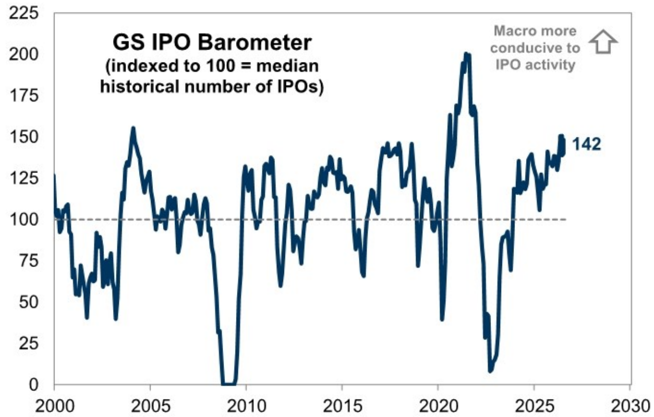
Exhibit 28: S&P 500 implied volatility



Source: Goldman Sachs Global Investment Research

IPO Barometer and mutual fund performance

Exhibit 29: Goldman Sachs IPO Barometer



The Goldman Sachs IPO Barometer combines five indicators that gauge the conduciveness of the macro environment to IPO activity.

Source: Goldman Sachs Global Investment Research

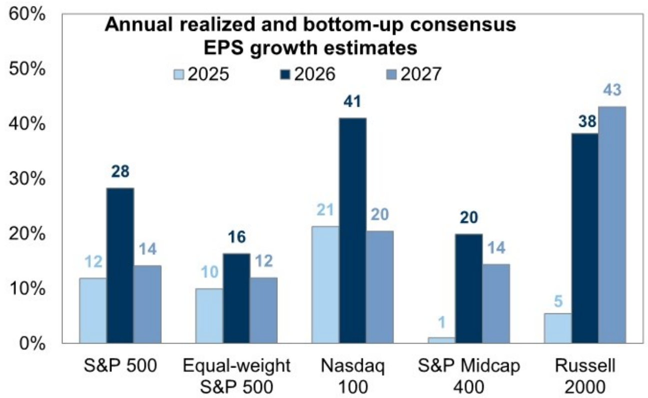
Exhibit 30: US equity mutual fund returns relative to benchmarks

Mutual fund style	Average YTD return	% outperforming benchmarks YTD
Large-cap core	8%	45%
Large-cap growth	4	71
Large-cap value	12	13
Large-cap total	**8%**	**43%**
Small-cap core	18%	40%

Source: FactSet, Goldman Sachs Global Investment Research

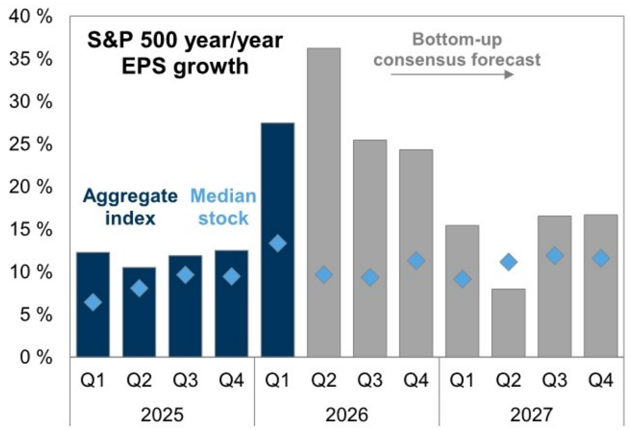
Earnings growth

Exhibit 31: Realized and consensus EPS growth for select US equity indices



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 32: Realized and consensus year/year S&P 500 EPS growth



Source: FactSet, Goldman Sachs Global Investment Research

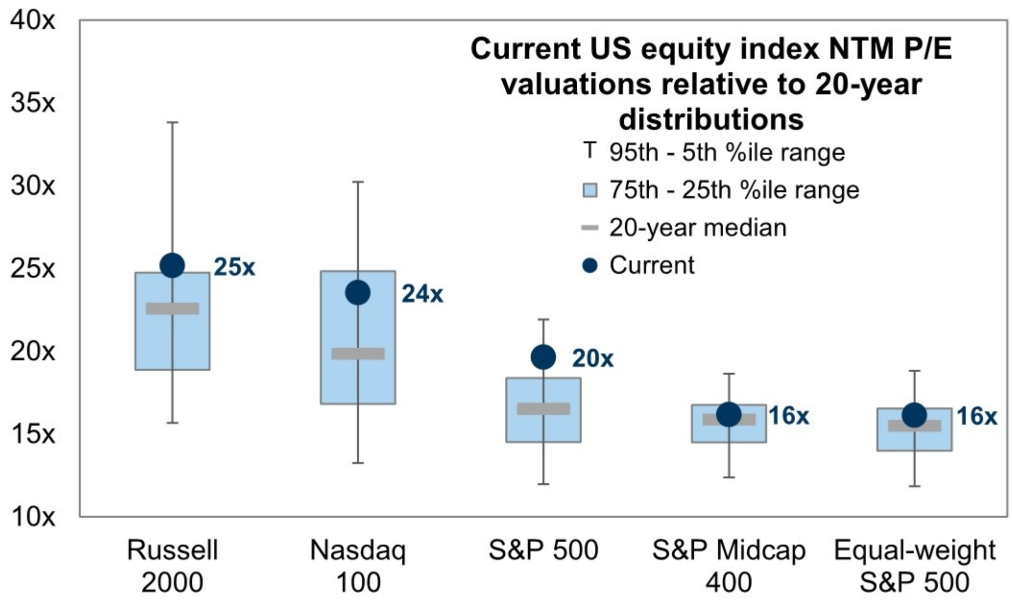
Exhibit 33: S&P 500 FY2 earnings revision breadth

Revision breadth calculated as [(# of companies with positive EPS revisions)-(# of companies with negative revisions)]/(total # of companies). Revisions reflect FY2 EPS estimate changes during a rolling 1-month window.

Source: FactSet, Goldman Sachs Global Investment Research

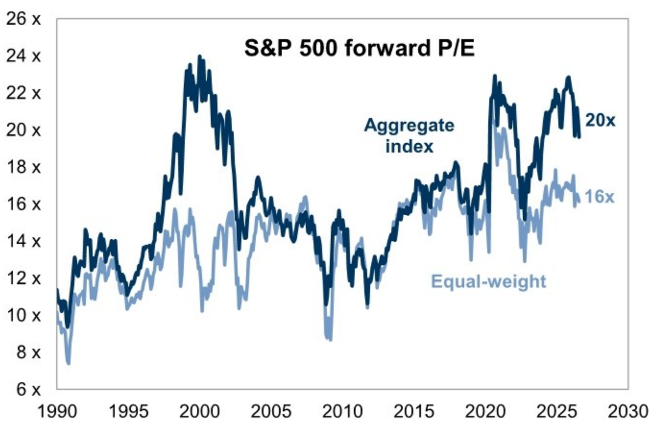
Valuations

Exhibit 34: US equity index P/E valuations vs. history



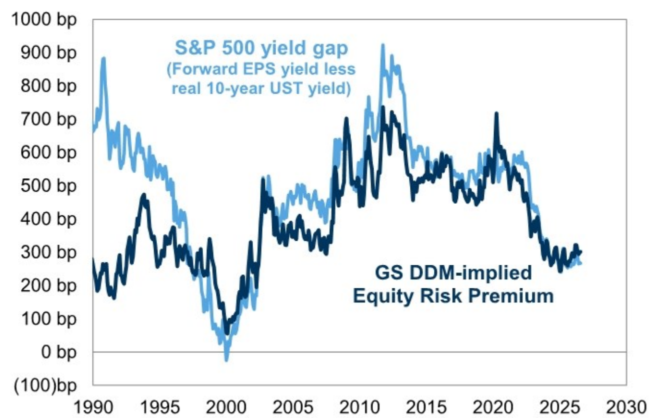
Source: Compustat, FactSet, IBES, Goldman Sachs Global Investment Research

Exhibit 35: S&P 500 consensus forward 12-month P/E



Source: Compustat, FactSet, IBES, Goldman Sachs Global Investment Research

Exhibit 36: S&P 500 valuation relative to US Treasury yields



Equity risk premium calculated by solving for the discount rate that equates the fair value of our multi-stage S&P 500 dividend discount model to the current market price and subtracting the 10-year US Treasury yield.

Source: Goldman Sachs Global Investment Research

Sector returns, earnings, and valuations

Exhibit 37: Sector and industry group returns

Top quartile
Bottom quartile

	S&P 500	Index weight	1 Week	1 Month	3 Months	Last 12 Mo	YTD	GS allocation
	S&P 500	100 %	(1.7)%	1 %	5 %	18 %	9 %	
SECTOR	Energy	3 %	4.7 %	10 %	5 %	42 %	35 %	
	Utilities	2	1.6	2	1	13	10	
	Industrials	9	1.0	2	5	20	18	
	Information Technology	38	0.2	(0)	11	30	17	
	Health Care	9	(0.2)	6	11	21	5	OW
	Real Estate	2	(0.7)	1	4	14	18	
	Materials	2	(1.1)	(1)	(3)	11	10	OW
	Financials	12	(1.6)	4	8	7	3	
	Consumer Staples	5	(3.0)	(2)	(2)	6	8	
	Consumer Discretionary	9	(7.7)	(4)	(8)	(2)	(8)	
	Communication Services	9	(8.8)	(4)	(8)	15	(4)	
INDUSTRY GROUP	Energy	3 %	4.7 %	10 %	5 %	42 %	35 %	
	Semiconductors & Semi Equipment	18	3.4	(2)	14	63	38	
	Capital Goods	7	2.1	1	4	26	22	
	Utilities	2	1.6	2	1	13	10	
	Pharma Biotech & Life Sciences	6	0.9	8	16	34	11	
	Insurance	2	0.6	6	8	8	6	
	Technology Hardware & Equipment	11	(0.0)	3	19	64	32	
	Banks	4	(0.1)	3	11	23	10	
	Real Estate Investment Trusts (REITs)	2	(0.7)	1	4	14	18	
	Materials	2	(1.1)	(1)	(3)	11	10	
	Transportation	1	(1.5)	6	8	24	19	
	Telecommunication Services	1	(2.3)	(3)	(13)	(11)	(4)	
	Health Care Equipment & Services	3	(2.3)	2	3	1	(5)	
	Food Beverage & Tobacco	2	(2.4)	2	5	11	13	
	Financial Services	7	(2.8)	3	7	0	(1)	
	Household & Personal Products	1	(2.9)	(2)	4	(6)	5	
	Commercial & Professional Svcs	1	(3.6)	9	5	(18)	(7)	
	Consumer Staples Retail	2	(3.9)	(5)	(11)	7	4	
	Consumer Services	2	(4.5)	(2)	(4)	(9)	(6)	
	Consumer Durables & Apparel	0	(5.8)	(4)	(9)	(16)	(11)	
	Consumer Discretionary Retail	5	(5.9)	(1)	(8)	0	(0)	
	Software & Services	8	(6.0)	(0)	(4)	(25)	(21)	
	Media & Entertainment	9	(9.3)	(4)	(8)	17	(4)	
	Automobiles & Components	2	(16.1)	(14)	(12)	0	(26)	

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 38: Earnings contributions and growth by S&P 500 sector

	GS top-down					Consensus bottom-up			
	Contribution			EPS growth		Contribution		EPS growth	
Sector	2025	2026	2027	2026	2027	2026	2027	2026	2027
Info Tech	$70	**$110**	$140	**56 %**	27 %	$110	$145	56 %	32 %
Financials	52	**56**	61	**8**	9	58	63	12	8
Comm Services	29	**36**	38	**24**	5	44	39	52	(11)
Health Care	33	**34**	39	**2**	14	33	40	(2)	21
Cons Discretionary	23	**24**	26	**7**	7	26	29	13	12
Industrials	21	**23**	25	**9**	9	24	27	12	14
Energy	12	**19**	17	**60**	(10)	19	18	62	(8)
Consumer Staples	15	**15**	16	**4**	4	15	16	3	8
Utilities	8	**8**	9	**7**	6	9	9	13	7
Materials	5	**8**	8	**39**	5	7	8	38	12
Real Estate	6	**7**	7	**5**	6	7	8	16	7
S&P 500	$275	**$340**	$385	**24 %**	13 %	$353	$402	28 %	14 %

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 39: S&P 500 sector P/E valuations relative to history

	Consensus forward 12-month P/E valuation				
		Absolute P/E		P/E vs. S&P 500	
	Current	%ile rank vs. history		%ile rank vs. history	
	P/E	10-year	30-year	10-year	30-year
Industrials	**25x**	83%	94%	100%	100%
Consumer Discretionary	**24**	37	78	18	66
Consumer Staples	**22**	73	78	58	39
Information Technology	**21**	50	58	53	42
S&P 500	**20**	**53**	**74**		
Real Estate	**19**	66	81	43	38
Health Care	**18**	83	75	77	37
Utilities	**18**	67	89	85	89
Materials	**17**	28	50	23	15
Communication Services	**17**	11	13	1	0
Financials	**15**	44	69	29	26
Energy	**14**	37	49	46	24

Source: Compustat, FactSet, IBES, Goldman Sachs Global Investment Research

Thematic baskets

Exhibit 40: Recent performance of select Goldman Sachs Research baskets
basket returns expressed relative to the equal-weight S&P 500 except for long/short basket pairs as noted

Top quartile
Bottom quartile

	Basket / Index	Ticker (GSTH____)	Total returns 1 Wk	3 Mo	12 Mo	YTD
	S&P 500	SPX	(1.7)%	5 %	18 %	9 %
	Equal-weight S&P 500	SPW	(1.5)	5	15	12
Macro-economic	Dual Beta	BETA	5.7 %	18 %	69 %	42 %
	Low vs. High Labor Cost	LLAB / HLAB	4.7	3	19	14
	Interest Rate Sensitive	USTY	(0.0)	8	22	17
	High vs. Low Tax Rate	HTAX / LTAX	(2.1)	(0)	4	2
Geographic sales	EM Sales	BRIC	6.2 %	16 %	72 %	46 %
	International Sales	INTL	3.9	8	42	26
	Western Europe Sales	WEUR	1.5	(3)	0	(1)
	US Sales	AINT	(0.8)	2	(10)	(6)
Fundamental	Long vs. Short Duration	LDUR / SDUR	1.5 %	7 %	(21)%	(14)%
	ROE Growth	GROE	0.5	6	37	28
	Strong vs. Weak Balance Sheet	SBAL / WBAL	0.0	(4)	(10)	(8)
	High Quality	QUAL	(1.3)	(8)	(13)	(11)
	Stable Growers	STGR	(1.8)	(8)	(19)	(13)
	High vs. Low Operating Leverage	OPHI / OPLO	(3.0)	11	(4)	0
Uses of cash	Capex and R&D	CAPX	2.7 %	11 %	42 %	26 %
	Total Cash Return	CASH	0.9	3	7	2
	High Growth Investment	HGIR	(0.2)	5	27	16
	Buybacks	REPO	(0.4)	0	0	(2)
	Dividend Growth	DIVG	(0.8)	2	8	2
	Debt Reducers vs. Issuers	DRED / DISS	(1.5)	(0)	16	7
Ownership, risk & liquidity	Hedge Fund VIP	HVIP	2.0 %	1 %	10 %	2 %
	Mutual Fund Over- vs. Underweights	MFOW / MFUW	0.7	(9)	(23)	(17)
	High Sharpe Ratio	SHRP	(2.2)	(3)	(18)	(12)
	Low vs. High Liquidity	LLIQ / HLIQ	(4.3)	(10)	(16)	(7)
Equity research	Gov't Exposure	GSRHGOVT	2.9 %	0 %	14 %	(1)%
	M&A Candidates	GSRHACQN	1.4	14	26	5
	SMB Exposure	GSRHSMBX	(1.7)	3	(16)	(9)
	Oil Input Cost	GSRHOILX	(2.5)	(1)	(9)	(0)

Basket returns and constituents can be accessed via GS Marquee or Bloomberg using the indicated tickers.

Source: Goldman Sachs Global Investment Research

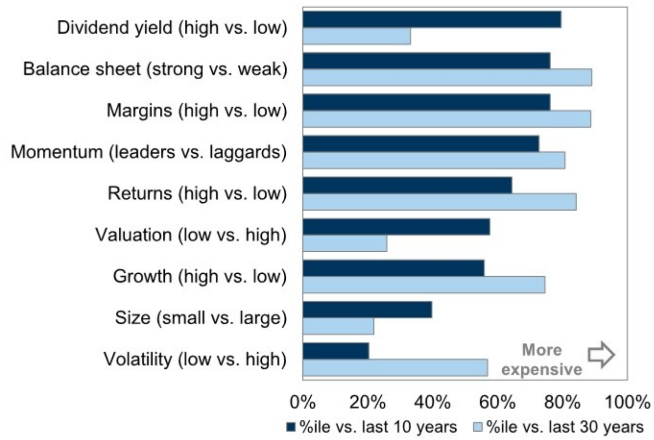
Factors

Exhibit 41: Indexed return of select equity factors

Factor performance and constituents can be viewed on GS Marquee or Bloomberg using the tickers indicated on the chart.

Source: Goldman Sachs Global Investment Research

Exhibit 42: Equity factor valuations relative to history



Source: Goldman Sachs Global Investment Research

Goldman Sachs global macro research cross-asset forecasts

Exhibit 43: Goldman Sachs macro research asset forecasts

Goldman Sachs Global Macro Forecasts

	units	Current	3m	6m	12m	Change to 12m target
Equities						
MXAPJ	level	866	980	1030	1080	25 %
S&P 500	**level**	**7408**	**7600**	**8000**	**8300**	**12**
TOPIX	level	4054	4200	4300	4500	11
STOXX Europe 600	level	639	640	645	660	3
10-year rates						
Euro Area (Germany)	%	2.5	3.0	3.0	3.0	55 bp
Japan	%	2.8	2.5	2.5	2.4	(36)
US	%	4.7	4.5	4.4	4.3	(40)
Corporate bonds						
Investment grade	bp	76	85	82	78	2 bp
High yield	bp	279	305	295	280	1
Currencies						
US dollar / Yen	$/¥	164	162	163	165	1 %
Euro / US dollar	EUR/$	1.14	1.14	1.12	1.12	(2)
Sterling / US dollar	£/$	1.33	1.33	1.29	1.28	(4)
Commodities						
COMEX gold	$/troy oz	4050	4690	4900	5115	26 %
NYMEX nat. gas	$/mmBtu	3	3.50	3.50	3.50	20
LME copper	$/mt	13745	13620	13735	13800	0
Brent crude oil	$/bbl	101	81	79	74	(27)

Source: FactSet, Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

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